

Health Insurance Act, 2017

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 11

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Certification and Publication Date

2074.07.01

Amending Acts

1. Act to Amend Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075 2075.11.19
2. Act to Amend Some Nepal Acts Relating to Good Governance Promotion and Public Service Delivery, 2081 2081.12.18

Act Number 42 of the year 2074

An Act Made to Provide for Health Insurance

Preamble: Whereas, it is desirable to make necessary provisions relating to protecting the right of citizens to obtain quality health services, to reduce the financial risk of the insured through pre-payment by health insurance, and to ensure easy access of general citizens to health services by enhancing the efficiency and accountability of health service providers,

Now, therefore, the Legislature-Parliament has enacted this Act pursuant to subsection (1) of Article 296 of the Constitution of Nepal. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Health Insurance Act, 2074".
- (2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-
 - (a) "Chairperson" means the Chairperson of the Board.
 - (b) "Executive Director" means the Executive Director pursuant to Section 20.
 - (c) "Fund" means the Health Insurance Fund pursuant to Section 27.
 - (d) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.
 - (e) "Family" means the spouse, son, daughter-in-law, adopted son, adopted daughter, grandson or granddaughter of a person enrolled in the health insurance program living together as a single unit, and father, mother or step-mother, elder brother, younger brother, elder sister, younger sister; and in the case of a male or unmarried female, the term also includes his/her grandfather and grandmother, and in the case of a married female, her mother-in-law and father-in-law.
 - (f) "Insured" means a family that participates in the health insurance program and pays the contribution amount (premium).

(g) "Board" means the Health Insurance Board pursuant to Section 13.

(h) "Ministry" means the amended by the Act to Amend Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075.

Ministry of Health and Population, Government of Nepal.

(i) "Contribution Amount (Premium)" means the amount received from the insured for participating in the health insurance program, and the term also includes the amount paid by the Government of Nepal, Provincial Government, Local Government, any person or organized institution on behalf of such insured.

(j) "Member" means a member of the Board, and the term also includes the Chairperson and Member-Secretary of the Board.

(k) "Service" means the service to be received by the insured pursuant to Section 5.

(l) "Service Provider" means any of the following health institutions that contract with the Board to provide services:-

(1) Hospitals, health foundations, teaching hospitals, primary health centers, health posts, urban health clinics or units operated by the Government of Nepal, Provincial Government or Local Government,

(2) Hospitals, teaching hospitals, nursing homes, polyclinics or clinics operated by the private sector,

(3) Hospitals, teaching hospitals, nursing homes, polyclinics or clinics operated by community, cooperative, non-governmental organizations,

(4) Pharmacies or institutions providing diagnostic health services,

(5) Ayurvedic hospitals, homeopathic, acupuncture treatment hospitals or naturopathy centers,

(6) Other health institutions as prescribed that provide health services.

(m) "Health Insurance" means the health insurance to be undertaken by the insured for receiving services pursuant to Chapter-2. Chapter-2

Health Insurance Program

3. Enrollment in Health Insurance Program: (1) Every Nepali citizen shall be enrolled in the health insurance program.

(2) It shall be the duty of the guardian and parent of a newborn baby, child, senior citizen, person with disability and incapacitated person to enroll them in the health insurance program.

(3) It shall be the duty of the manager of institutions such as old age homes, orphanages, juvenile correction homes to enroll dependent persons in such institutions in the health insurance program.

(4) The family of a person deemed to be a public servant pursuant to prevailing law and a worker going for foreign employment shall be enrolled in the health insurance program.

(5) Prescribed institutions established pursuant to prevailing law shall enroll persons working in such institutions in the health insurance program.

(6) The Board shall issue a health insurance account, as prescribed, to a family enrolled in the health insurance program pursuant to this Section.

(7) The health insurance account pursuant to sub-section (6) shall include matters such as the services to be received by the insured and the contribution amount to be paid for using the services. 4. Family to be

Considered as Unit: (1) For the purpose of enrollment in the health insurance program, a family shall be considered as a unit.

(2) Provisions relating to the procedure for enrollment in the health insurance program pursuant to sub-section (1) shall be as prescribed.

5. Services: (1) The following facilities shall be provided under the health insurance program:- (a) Promotional services such as yoga, nutritional education, behavior modification, psycho-social counseling, (b) Preventive services such as vaccination, family planning, safe motherhood, (c) Curative services such as outpatient, inpatient treatment, emergency, surgery, medicine, health aid equipment, (d) Diagnostic or rehabilitation related services, (e) Ambulance service, (f) Other services as prescribed. (2) Notwithstanding anything contained in sub-section (1), no person shall be deemed to be hindered from receiving basic health services free of cost or any health services received pursuant to prevailing law. Explanation: For the purpose of this sub-section, "basic health services" means health services as specified by the Government of Nepal. 6. Services Not Included in Health Insurance Program: The following services shall not be included under the health insurance program:- (a) Health-related assistive devices including spectacles, hearing aids costing more than the prescribed amount, (b) Plastic surgery, (c) Artificial insemination service, (d) Other services as prescribed. 7. Provisions Relating to Contribution Amount and Co-payment: (1) The contribution amount, co-payment and payment provisions applicable upon enrollment in the health insurance program shall be as prescribed. Provided that the contribution amount shall be prescribed based on, among others, annual income. (2) Notwithstanding anything contained in sub-section (1), the Government of Nepal, Provincial Government and Local Government shall bear the amount equivalent to the contribution amount for economically disadvantaged and poor targeted groups, as prescribed. 8. Use of Health Insurance Facility: The insured shall use the health insurance facility obtained pursuant to this Act only by themselves. 9. Contract to be Made with the Board: (1) A service provider wishing to operate the health insurance program shall make a contract with the Board as prescribed. (2) Provisions relating to matters to be included in the contract made pursuant to sub-section (1), conditions to be followed by the service provider and standards to be fulfilled shall be as prescribed. (3) After the contract is made pursuant to sub-section (1), the service provider shall provide services as per the contract to the insured. (4) The duration of the contract made pursuant to sub-section (1) shall be five years. (5) The service provider shall renew the contract at least three months before the expiry of the period pursuant to sub-section (4). (6) Added by the Act to Amend Some Nepal Acts Relating to Good Governance Promotion and Public Service Delivery, 2081.

For the purpose of the primary service point, the Board shall make contracts ensuring that there is at least one service provider health institution in each local level. Explanation: For the purpose of this Section, "primary service point" means the government health institution designated by the Board for the insured to first seek health services. 10. Health Service to be Taken: (1) The insured shall take health services from the health institution as per sub-clause (1) of clause (I) of Section 2.

(2) If the health institution pursuant to sub-section (1) is unable to provide the necessary service to the insured, it shall refer the insured, stating the same, to a health institution where such service is available.

(3) The concerned health institution shall provide services with priority to the insured referred pursuant to sub-section (2).

(4) Other provisions relating to taking health services shall be as prescribed. 11. Provision Relating to Payment: The Board shall make payment for the services provided by the service provider on the following basis:-

(a) Capitation fee,
(b) Amount per case (case rate),
(c) Fee per service,
(d) Other appropriate basis as prescribed. 12. Contract to be Cancelled: (1) The Board shall cancel the contract made with the service provider pursuant to Section 9 in the following circumstances:-

(a) If the service provider fails to renew the contract within the period pursuant to sub-section (5) of Section 9,
(b) If the service provider fails to provide services to the insured according to the contract,
(c) If the service provider repeatedly violates the conditions mentioned in the contract,
(d) If the service provider fails to adopt the national treatment protocol required to be followed,
(e) If the service provider demands payment by creating false documents or details,
(f) If the service provider fails to comply with the standards determined by the Board or other conditions of service,
(g) On other grounds as prescribed.

(2) Before cancelling the contract pursuant to sub-section (1), the Board shall give the concerned service provider a reasonable opportunity to present their defense. Chapter-3

Formation of the Board and its Functions, Duties and Powers

13.

Formation of the Board: (1) There shall be a Health Insurance Board to carry out functions relating to health insurance. (2) The Board shall be formed as follows:- (a) Person appointed by the Government of Nepal - Chairperson (b) An officer of the level of Joint Secretary of the Ministry designated by the Ministry - Member (c) Joint Secretary, Ministry of Finance, Government of Nepal - Member (d) Three persons including at least two women, nominated by the Ministry from among persons who have gained at least five years of experience in the relevant field - Member (e) Two persons including one woman, nominated by the Ministry from among the insured - Member (f) Executive Director - Member-Secretary (3) The term of office of the Chairperson and Members pursuant to clauses (a), (d) and (e) of sub-section (2) shall be four years, and they may be reappointed or re-nominated once. 14. Board to be Autonomous Institution: (1) The Board shall be a continuous succession, autonomous and organized institution. (2) There shall be a separate seal for the functioning of the Board. (3) The Board may file complaints and cases in its own name, and complaints and cases may also be filed against the Board in the same name. (4) The Board may, like a person, acquire, possess, sell or otherwise utilize movable and immovable property. (5) The central office of the Board shall be located within the Kathmandu Valley, and the Board may establish branch offices in provinces. 15. Functions, Duties and Powers of the Board: (1) In addition to the functions, duties and powers mentioned elsewhere in this Act, the other functions, duties and powers of the Board shall be as follows:- (a) To formulate and approve policies, strategies, plans, programs and budgets relating to health insurance, and implement or cause them to be implemented, (b) To determine the level of service, (c) To prescribe the method and rate of payment for the services provided, (d) To formulate policies for the management, protection and safe investment of the Fund, (e) To submit the organizational structure and staffing of the Board to the Ministry for approval, (f) To monitor, regulate and evaluate the activities of service providers, or cause them to be done, (g) To perform other functions as prescribed. (2) The Board may delegate some of the powers vested in it to a member of the Board or any officer or employee or local level, as required. 16.

Meeting and Decision of the Board: (1) Meetings of the Board shall be held at least four times a year on such date, time and place as designated by the Chairperson as required. (2) Notwithstanding anything contained in

sub-section (1), in the absence of the Chairperson, the Member-Secretary may, in consultation with the members, convene a meeting of the Board. (3) The Executive Director shall, in consultation with the Chairperson, provide notice along with the agenda of matters to be discussed in the Board meeting to all members at least three days before the date of the meeting. (4) The meeting of the Board shall be chaired by the Chairperson, and in his/her absence, a member chosen from among the members present shall chair the meeting. (5) If more than fifty percent of the members currently holding office in the Board are present, the quorum for the Board meeting shall be deemed to have been met. (6) A decision of the majority shall prevail in the Board meeting, and in case of a tie, the person chairing the meeting shall have the casting vote. (7) Concerned officials and experts on health insurance may be invited to the Board meeting. (8) The decision of the Board meeting shall be certified by the Member-Secretary. (9) Other procedures relating to the Board meeting shall be as determined by the Board. 17. May Form Sub-committee: (1) The Board may form a sub-committee under the coordination of a member as required in relation to its work. (2) The functions, duties, powers and procedures of the sub-committee pursuant to sub-section (1) shall be as determined by the Board at the time of forming such sub-committee. Chapter-4 Chairperson, Member, Executive Director and Employees 18.

Qualification for the Position of Chairperson and Member: Any person fulfilling the following qualifications may become the Chairperson or Member of the Board:- (a) Nepali citizen, (b) Having obtained at least a Bachelor's degree in any subject from a recognized educational institution and having at least seven years of experience in the relevant field in the case of Chairperson and at least five years in the case of Member, Provided that for the Member pursuant to clause (d) of sub-section (2) of Section 13, must have completed a Master's level in medical science, public health, economics or financial management. (c) Not convicted of an offense relating to corruption, rape, human trafficking and transportation, narcotic drug sale, distribution, export or import, money laundering, passport misuse, kidnapping, or other criminal offenses involving moral turpitude, (d) Deleted by the Act to Amend Some Nepal Acts Relating to Good Governance Promotion and Public Service Delivery, 2081. (e) Not being a director or foundational shareholder of any insurance company, Explanation: For the purpose of this clause, "foundational shareholder" means a person who holds shares in their name amounting to one percent or more of the total paid-up capital of any insurance company. (f) Not exceeding sixty-five years of age. 19. Functions, Duties and Powers of Chairperson: The functions, duties and powers of the Chairperson shall be as follows:- (a) To convene meetings of the Board, (b) To lead the Board at national and international levels on matters relating to health insurance as required, (c) To evaluate the performance of the Executive Director, (d) To submit the annual report of the Board to the Prime Minister through the Ministry, (e) To perform other functions as prescribed. 20. Executive Director: (1) There shall be one Executive Director as a full-time officer to work as the administrative chief of the Board. (2) The term of office of the Executive Director shall be four years, and he/she may be reappointed for a maximum of one term. (3) The remuneration, terms of service and facilities of the Executive Director shall be as prescribed. 21. Qualification for Appointment to the Position of Executive Director: To be appointed to the position of Executive Director, the following qualifications must be met:- (a) Having obtained at least a Master's degree in economics, management, law, medical science, public health or health economics from a recognized educational institution and having gained at least ten years of experience in the relevant field, Amended by the Act to Amend Some Nepal Acts Relating to Good Governance Promotion and Public Service Delivery, 2081.(b) Fulfilling qualifications pursuant to clauses (a) and (c) of Section 18, (c) Not exceeding sixty-five years of age.

22. Recommendation Committee: (1) There shall be a Recommendation Committee as follows to recommend for appointment to the position of Executive Director:-

- (a) Chairperson of the Public Service Commission or a member of the Commission designated by him/her - Coordinator
- (b) One person nominated by the Ministry from among persons who have obtained a Master's degree in economics, management, finance, law, health economics or insurance and have at least seven years of experience in the relevant field - Member
- (c) Secretary, Ministry - Member-Secretary

(2) The Committee pursuant to sub-section (1) shall recommend the names of three persons, who have fulfilled the qualifications pursuant to Section 21 for appointment to the position of Executive Director, based on open competition as prescribed.

(3) The Government of Nepal shall appoint one of the persons recommended pursuant to sub-section (2) to the position of Executive Director.

(4) The procedures of the Committee pursuant to sub-section (1) shall be as determined by the Committee itself. 23. Performance Agreement to be Made: The Board shall make a performance agreement with the Executive Director as prescribed. 24. Functions, Duties and Powers of Executive Director: The functions, duties and powers of the Executive Director shall be as follows:-

- (a) To prepare policies, strategies, plans, budgets and programs relating to health insurance and submit them to the Board,
- (b) To perform or cause to be performed functions relating to training, study, research, supervision, monitoring and evaluation concerning health insurance,
- (c) To perform or cause to be performed functions relating to information, communication and coordination of the health insurance program,
- (d) To prepare provisions relating to enrollment in the health insurance program, determination of service levels, conditions of contracts to be made with service providers, and payment methods, and submit them to the Board,
- (e) To maintain accounts of the income and expenditure of the Board, implement internal control systems, and conduct or cause to be conducted audits,
- (f) To implement or cause to be implemented the decisions of the Board,
- (g) To prepare the annual report and submit it to the Board,
- (h) To perform other functions as prescribed. 25.

Position to Become Vacant: (1) The position of Chairperson, Member and Executive Director shall be deemed vacant in the following circumstances:- (a) If the Chairperson or Executive Director submits a written resignation to the Government of Nepal, and the Member submits a written resignation to the Chairperson, (b) If absent from three consecutive meetings of the Board without informing the Board, (c) If convicted by a court for an offense mentioned in clause (c) of Section 18, (d) If their term of office expires, (e) If removed from office pursuant to sub-section (2), (f) If death occurs. (2) Notwithstanding anything contained in sub-section (3) of Section 13 and sub-section (2) of Section 20, if the Chairperson, Member or Executive Director does any act contrary to the interests of the Board or fails to fulfill their official responsibilities, the Government of Nepal in the case of the Chairperson and Executive Director, and the Ministry in the case of a nominated Member, may remove them from office at any time before the expiry of their term. (3) Before removing the Chairperson, Member or Executive Director from office pursuant to sub-section (2), a reasonable opportunity shall be given to present a defense against the charges leveled against them. (4) If, during the pendency of charges against the Chairperson, Member or Executive Director pursuant to

sub-section (3) while remaining in office, there appears a reasonable basis for believing that the person may destroy evidence against the charges or cause any loss or damage to the Board, the appointing or nominating authority may immediately suspend the person from office. (5) The period of suspension pursuant to sub-section (4) shall not exceed three months. Added by the Act to Amend Some Nepal Acts Relating to Good Governance Promotion and Public Service Delivery, 2081.(6) If the position of Executive Director becomes vacant for any reason, until an Executive Director is appointed pursuant to sub-section (3) of Section 22, the Ministry may depute an employee of at least the eleventh level of the Nepal Health Service currently serving in the Ministry or its subordinate bodies to work as the Executive Director. 26. Provisions Relating to Employees: (1) There shall be the required number of employees in the Board. (2) The appointment, remuneration, terms of service and facilities of the employees in the Board pursuant to sub-section (1) shall be as prescribed. (3) The Board may appoint experts for work requiring expertise that cannot be performed by its employees, and the qualification, remuneration, terms of service and facilities of such experts shall be as determined by the Board. Chapter-5 Fund and Accounts 27.

Fund: (1) There shall be a Health Insurance Fund for the implementation of the health insurance program. (2) The Fund pursuant to sub-section (1) shall contain the following amounts:- (a) Grant amounts received from the Government of Nepal, Provincial Government and Local Government, (b) Amounts received from contributors, (c) Amounts received from domestic associations, institutions or persons, (d) Amounts received from foreign governments, associations, institutions or persons, (e) Amounts earned by the Board and received from other sources. (3) Prior approval of the Ministry of Finance, Government of Nepal shall be obtained before receiving amounts pursuant to clause (d) of sub-section (2). (4) The amount of the Fund shall be deposited by opening an account in a class "A" commercial bank within Nepal specified by the Board. (5) The operation of the Fund account shall be by the joint signature of the Executive Director and the Chief of Accounts. 28. Use of Fund: (1) All expenditures made on behalf of the Board shall be borne by the Fund. (2) Notwithstanding anything contained in sub-section (1), expenditure for the promotion of health insurance and administrative expenses shall not exceed twelve percent of the total budget of the Fund. 29. Accounts and Audit of Fund: (1) Accounts of the income and expenditure of the Fund shall be maintained in accordance with prevailing law. (2) The Board shall cause an internal audit of its income and expenditure to be conducted as prescribed. (3) The Board shall cause a final audit to be conducted by the Auditor General within three months of the end of each fiscal year. (4) The Ministry may, if it so desires, inspect or cause to be inspected the accounts and books of the Board at any time. 30. Amount Not to be Frozen: Notwithstanding anything contained in prevailing law, the amount in the Fund shall not be frozen. Chapter-6 Complaint, Penalty and Appeal 31. May File Complaint: (1) If a service provider fails to provide services to the insured, delays in providing services, or provides services of a quality lower than the prescribed service level, the insured may file a complaint against such service provider before the Board or any body designated by the Board within ninety days from the date of such act. (2) Other provisions relating to filing complaints shall be as prescribed. 32.

Penalty: (1) If a complaint pursuant to Section 31 is found reasonable upon inquiry, the Board shall impose a fine of fifteen thousand to twenty-five thousand rupees on such service provider and also order payment of an amount equivalent to the fine to the insured as compensation. (2) If any insured acts contrary to Section 8 and causes loss or damage to the Board, the Board may impose a fine on such insured equivalent to the amount of loss caused by them. (3) If any service provider does any other act contrary to this Act or the rules made under this Act, the Board may impose a fine of up to five hundred thousand rupees on such service provider. 33. May File Appeal: A party not satisfied with the decision made by the Board under Section 32 may file an appeal in the concerned High Court within thirty-five days from the date of receipt of notice of

such decision. Chapter-7 Miscellaneous 34. Dispute Resolution: (1) If any dispute arises between the Board, the insured or the service provider in the course of implementing the provisions of this Act or the rules made under this Act, such dispute shall be resolved through mutual understanding. (2) If the dispute is not resolved pursuant to sub-section (1), such dispute shall be resolved by the Dispute Resolution Committee as prescribed. (3) A party not satisfied with the decision of dispute resolution made by the Committee pursuant to sub-section (2) may file an appeal in the concerned District Court within thirty-five days from the date of receipt of notice of such decision. 35. Meeting Allowance: Members shall receive a meeting allowance as prescribed for participating in Board meetings. 36. Contact with Government of Nepal: The Board shall contact the Government of Nepal through the Ministry. 37. May Give Direction: The Ministry may give necessary directions to the Board in the context of implementing this Act, and it shall be the duty of the Board to follow such directions. 38. To be According to Prevailing Law: Matters written in this Act shall be according to this Act, and matters not written in this Act shall be according to prevailing law. 39. May Make Rules: The Government of Nepal may make necessary rules for implementing this Act. 40. May Make Regulations: The Board may make necessary regulations, subject to this Act and the rules made under this Act. 41. May Make Directives and Procedures: The Board may make necessary directives and procedures, subject to this Act and the rules and regulations made under this Act. 42.